

1 _____ BILL NO. _____

2 INTRODUCED BY _____

3

4 A BILL FOR AN ACT ENTITLED: "AN ACT PROVIDING FOR TAX-EXEMPT CHILD CARE SAVINGS
5 ACCOUNTS; PROVIDING THE MAXIMUM AMOUNT THAT MAY BE DEDUCTED FROM TAXABLE INCOME
6 WHEN CONTRIBUTED TO A CHILD CARE SAVINGS ACCOUNT; PROVIDING THAT EARNINGS ON A
7 CHILD CARE SAVINGS ACCOUNT ARE TAX EXEMPT; PROVIDING FOR ELIGIBLE CHILD CARE
8 EXPENSES; PROVIDING A PENALTY FOR WITHDRAWAL FOR INELIGIBLE EXPENSES; PROVIDING
9 DEFINITIONS; AMENDING SECTION 15-30-2120, MCA; AND PROVIDING AN APPLICABILITY DATE."

10

11 BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

12

13 NEW SECTION. **Section 1. Short title.** [Sections 1 through 7] may be cited as the "Montana Child
14 Care Savings Account Act".

15

16 NEW SECTION. **Section 2. Definitions.** As used in [sections 1 through 7], unless the context
17 requires otherwise, the following definitions apply:

18 (1) "Account administrator" means:

19 (a) a state or federally chartered bank, savings and loan association, credit union, or trust
20 company;

21 (b) a certified public accountant licensed to practice in this state pursuant to Title 37, chapter 50;

22 (c) the account holder or an employee for whose benefit the account in question is established;

23 (d) a broker, insurance producer, or investment adviser regulated by the commissioner of
24 insurance;

25 (e) an attorney licensed to practice law in this state; or

26 (f) a person who is an enrolled agent allowed to practice before the United States internal revenue
27 service.

28 (2) "Account holder" means an individual who is a resident of this state and who establishes a child

1 care savings account.

2 (3) "Child care savings account" or "account" means an account established with an account
3 administrator in this state pursuant to [section 3].

4 (4) "Consumer price index" means the consumer price index, United States city average, for all
5 items, for all urban consumers, as published by the bureau of labor statistics of the United States department of
6 labor.

7 (5) "Dependent child" means a qualifying individual as defined in section 21 of the Internal
8 Revenue Code, 26 U.S.C. 21.

9 (6) "Eligible child care expense" means employment-related expenses as defined in section 21 of
10 the Internal Revenue Code, 26 U.S.C. 21.

11 (7) "Employee" means an employed individual for whose benefit or for the benefit of whose
12 dependents a child care savings account is established. The term includes a self-employed individual.

13 (8) "Immediate family member" means a parent, spouse, or child.

14
15 **NEW SECTION. Section 3. Establishment of account.** (1) An employer, except as otherwise
16 provided by statute, contract, or a collective bargaining agreement, may establish a child care savings account
17 for an employee of the employer.

18 (2) An individual who is a resident of this state may establish a child care savings account for that
19 individual.

20 (3) Before making any contributions to an employee's account, an employer shall inform an
21 employee in writing of the state and federal tax status of contributions made pursuant to this chapter.

22 (4) On agreement between an employer and an employee, an employee may have the employer
23 contribute to the employee's child care savings account.

24
25 **NEW SECTION. Section 4. Tax exemption -- conditions.** (1) Except as provided in this section, the
26 amount of principal provided for in subsection (2) contributed annually by an employee or account holder to an
27 account and all interest or other income on the principal may be excluded from the Montana taxable income of
28 the employee or account holder and is exempt from taxation, in accordance with 15-30-2120, as long as the

principal and interest or other income is contained within the account or withdrawn only for payment of eligible child care expenses or for paying the expenses of administering the account. Any part of the principal or income, or both, withdrawn from an account may not be excluded under subsection (2) and this subsection (1) if the amount is withdrawn from the account and used for a purpose other than an eligible child care expense or for paying the expenses of administering the account.

(2) (a) An employee or account holder may annually contribute the greater of:

(i) \$5,000; or

(ii) an amount determined for each tax year after 2026 by multiplying the amount in subsection (2)(a)(i) by an inflation factor determined by dividing the consumer price index fund for June of the previous tax year by the consumer price index for June 2025 and rounding the resulting figure to the nearest \$100 increment.

(b) There is no limitation on the amount of funds and interest or other income on those funds that may be retained tax-free within an account.

(3) The transfer of money in an account owned by one employee or account holder to the account of another employee or account holder who is an immediate family member of the first employee or account holder does not subject either employee or account holder to tax liability under this section. Amounts contained within the account of the receiving employee or account holder are subject to the requirements and limitations provided in this section.

(4) The employee or account holder who establishes the account is the owner of the account. An employee or account holder may withdraw money in an account and deposit the money in another account with a different account administrator or with the same account administrator without incurring tax liability.

(5) Within 30 days of being furnished proof of the death of the employee or account holder, the account administrator shall distribute the principal and accumulated interest or other income in the account to the estate of the employee or account holder or to a designated pay-on-death beneficiary as provided in 72-6-223. An immediate family member who receives the distribution provided for in this subsection becomes the account holder and may:

(a) within 1 year of the death of the employee or account holder from which the account was inherited, withdraw funds for eligible child care expenses incurred by the deceased; and

(b) contribute to the account, retain money in the account tax-free, and withdraw funds from the account as provided in this chapter.

NEW SECTION. Section 5. Withdrawal of funds from account for purposes other than eligible child care expenses. (1) An employee or account holder may withdraw money from the individual's child care savings account for any purpose other than an eligible child care expense or for paying the expenses of administering the account only on the last business day of the account administrator's business year. Money withdrawn from an account pursuant to this subsection that had been excluded from taxation must be taxed as ordinary income of the employee or account holder.

(2) There is a penalty equal to 10% of the amount of a withdrawal for a withdrawal other than for eligible child care expenses or for expenses of administering the account or other than on the last business day of the account administrator's business year. The account administrator may withhold the penalty from the amount of the withdrawal and, on behalf of the employee or account holder, pay the penalty to the department. Payments made to the department pursuant to this section must be deposited in the general fund. Money withdrawn from an account pursuant to this subsection must be taxed as ordinary income of the employee or account holder if it had been excluded from taxation.

(3) For the purposes of this section, "last business day of the account administrator's business year", as applied to an account administrator who is also the account holder or an employee, means the last weekday in December.

NEW SECTION. Section 6. Administration of account. (1) (a) An account administrator shall administer the child care savings account from which the payment of claims is made and, except as provided in subsection (1)(b), has a fiduciary duty to the person for whose benefit the account is administered.

(b) Except for reporting and remitting of penalties to the department of revenue, a financial institution shall administer a child care savings account and has the same rights and duties pertaining to the account as the person for whose benefit the account is administered. A financial institution may provide investment options to each employee and account holder, including a regular deposit account, share account, stock account, bond account, mutual fund account, or a combination of these accounts. Notwithstanding any

1 other provision of this chapter, a financial institution is not responsible for:

2 (i) losses that are based on an investment option that is selected by an employee or account
3 holder; and

4 (ii) determining whether a child care expense is eligible or nonreimbursable or for the use or
5 application of funds if the employee or account holder attests that withdrawals are for eligible and
6 nonreimbursable child care expenses.

7 (2) Not more than 30 days after an account administrator begins to administer an account, the
8 account administrator shall notify in writing each employee and account holder on whose behalf the account
9 administrator administers an account of the date of the last business day of the account administrator's
10 business year.

11 (3) An account administrator may use funds held in a child care savings account only for the
12 purpose of paying eligible child care expenses or for paying the expenses of administering the account.

13 (4) The employee or account holder may submit documentation of eligible child care expenses
14 paid by the employee or account holder in the tax year to the account administrator, and the account
15 administrator shall reimburse the employee or account holder from the employee's or account holder's account
16 for eligible child care expenses. The burden of proving that a withdrawal from a child care savings account was
17 made for an eligible child care expense is on the employee or account holder and not on the account
18 administrator or the employer of the employee or account holder.

19 (5) The employee or account holder shall annually report to the department the starting balance
20 and ending balance of a child care savings account.

21 (6) If an employer makes contributions to a child care savings account on a periodic installment
22 basis, the employer may advance to an employee, interest free, an amount necessary to cover child care
23 expenses incurred that exceeds the amount in the employee's child care savings account at the time that the
24 expense is incurred if the employee agrees to repay the advance from future installments or when the
25 employee ceases employment with the employer.

26 (7) In the case of an account administrator who is also the account holder or an employee:

27 (a) notice by the account administrator to the employee or account holder pursuant to subsection
28 (2) is not required;

(b) the account administrator may not use funds held in an account to pay the expenses of administering the account, except that a service fee may be deducted from the account by a financial institution or other holder of the account;

(c) documentation of eligible child care expenses must be maintained but is not required to be submitted to the account administrator;

(d) contributions to a child care savings account must be established in a separate account and be segregated from other funds;

(e) the employee or account holder is subject to the same yearend reporting requirements as all other account administrators; and

(f) the employee or account holder is required to forward the 10% penalty on funds withdrawn for noneligible child care expenses to the state.

NEW SECTION. Section 7. False claims prohibited -- penalty. (1) A person may not knowingly prepare or cause to be prepared a false claim, receipt, statement, or billing to justify the withdrawal of money from an account.

(2) (a) A person who violates subsection (1) by preparing or causing the preparation of a false claim, receipt, statement, or billing in an amount not exceeding \$300 is guilty of theft and on conviction shall be fined an amount not to exceed \$500 or be imprisoned in the county jail for a term not to exceed 6 months, or both.

(b) A person convicted of a second offense shall be fined \$500 or be imprisoned in the county jail for a term not to exceed 6 months, or both.

(c) A person convicted of a third or subsequent offense shall be fined \$1,000 and be imprisoned in the county jail for a term of not less than 30 days or more than 6 months.

(3) A person who violates subsection (1) by preparing or causing the preparation of a false claim, receipt, statement, or billing in an amount of \$300 or more is guilty of theft and on conviction shall be fined an amount not to exceed \$50,000 or be imprisoned in the state prison for a term not to exceed 10 years, or both.

Section 8. Section 15-30-2120, MCA, is amended to read:

1 **"15-30-2120. Adjustments to federal taxable income to determine Montana taxable income. (1)**

2 The items in subsection (2) are added to and the items in subsection (3) are subtracted from federal taxable
3 income to determine Montana taxable income.

4 (2) The following are added to federal taxable income:

5 (a) to the extent that it is not exempt from taxation by Montana under federal law, interest from
6 obligations of a territory or another state or any political subdivision of a territory or another state and exempt-
7 interest dividends attributable to that interest except to the extent already included in federal taxable income;

8 (b) that portion of a shareholder's income under subchapter S. of Chapter 1 of the Internal
9 Revenue Code that has been reduced by any federal taxes paid by the subchapter S. corporation on the
10 income;

11 (c) depreciation or amortization taken on a title plant as defined in 33-25-105;

12 (d) the recovery during the tax year of an amount deducted in any prior tax year to the extent that
13 the amount recovered reduced the taxpayer's Montana income tax in the year deducted;

14 (e) an item of income, deduction, or expense to the extent that it was used to calculate federal
15 taxable income if the item was also used to calculate a credit against a Montana income tax liability;

16 (f) a deduction for an income distribution from an estate or trust to a beneficiary that was included
17 in the federal taxable income of an estate or trust in accordance with sections 651 and 661 of the Internal
18 Revenue Code, 26 U.S.C. 651 and 661;

19 (g) a withdrawal from a medical care savings account provided for in Title 15, chapter 61, used for
20 a purpose other than an eligible medical expense or long-term care of the employee or account holder or a
21 dependent of the employee or account holder;

22 (h) a withdrawal from a first-time home buyer savings account provided for in Title 15, chapter 63,
23 used for a purpose other than for eligible costs for the purchase of a single-family residence;

24 (i) a withdrawal from a child care savings account provided for in [sections 1 through 7], used for a
25 purpose other than an eligible child care expense of the employee or account holder;

26 ~~(i)~~(j) for a taxpayer that deducts the qualified business income deduction pursuant to section 199A
27 of the Internal Revenue Code, 26 U.S.C. 199A, an amount equal to the qualified business income deduction
28 claimed;

(j)(k) for an individual taxpayer that deducts state income taxes pursuant to section 164(a)(3) of the Internal Revenue Code, 26 U.S.C. 164(a)(3), an additional amount equal to the state income tax deduction claimed, not to exceed the amount required to reduce the federal itemized amount computed under section 161 of the Internal Revenue Code, 26 U.S.C. 161, to the amount of the federal standard deduction allowable under section 63(c) of the Internal Revenue Code, 26 U.S.C. 63(c); and

(k)(l) for a pass-through entity, estate, or trust, the amount of state income taxes deducted pursuant to section 164(a)(3) of the Internal Revenue Code, 26 U.S.C. 164(a)(3).

(3) To the extent they are included as income or gain or not already excluded as a deduction or expense in determining federal taxable income, the following are subtracted from federal taxable income:

(a) a deduction for an income distribution from an estate or trust to a beneficiary in accordance with sections 651 and 661 of the Internal Revenue Code, 26 U.S.C. 651 and 661, recalculated according to the additions and subtractions in subsections (2) and (3)(b) through (3)(o);

(b) if exempt from taxation by Montana under federal law:

(i) interest from obligations of the United States government and exempt-interest dividends attributable to that interest; and

(ii) railroad retirement benefits;

(c) (i) salary received from the armed forces by residents of Montana who are serving on active duty in the regular armed forces and who entered into active duty from Montana;

(ii) the salary received by residents of Montana for active duty in the national guard. For the purposes of this subsection (3)(c)(ii), "active duty" means duty performed under an order issued to a national guard member pursuant to:

(A) Title 10, U.S.C.; or

(B) Title 32, U.S.C., for a homeland defense activity, as defined in 32 U.S.C. 901, or a contingency operation, as defined in 10 U.S.C. 101, and the person was a member of a unit engaged in a homeland defense activity or contingency operation.

(iii) the amount received by a beneficiary pursuant to 10-1-1201; and

(iv) all payments made under the World War I bonus law, the Korean bonus law, and the veterans' bonus law. Any income tax that has been or may be paid on income received from the World War I bonus law,

1 Korean bonus law, and the veterans' bonus law is considered an overpayment and must be refunded upon the
2 filing of an amended return and a verified claim for refund on forms prescribed by the department in the same
3 manner as other income tax refund claims are paid.

4 (d) annual contributions and income in a medical care savings account provided for in Title 15,
5 chapter 61, and any withdrawal for payment of eligible medical expenses or for the long-term care of the
6 employee or account holder or a dependent of the employee or account holder;

7 (e) contributions or earnings withdrawn from a family education savings account provided for in
8 Title 15, chapter 62, or from a qualified tuition program established and maintained by another state as
9 provided in section 529(b)(1)(A)(ii) of the Internal Revenue Code, 26 U.S.C. 529(b)(1)(A)(ii), for qualified
10 education expenses, as defined in 15-62-103, of a designated beneficiary;

11 (f) interest and other income related to contributions that were made prior to January 1, 2024, that
12 are retained in a first-time home buyer savings account provided for in Title 15, chapter 63, and any withdrawal
13 for payment of eligible costs for the first-time purchase of a single-family residence;

14 (g) for each taxpayer that has attained the age of 65, an additional subtraction of \$5,500;

15 (h) the amount of a scholarship to an eligible student by a student scholarship organization
16 pursuant to 15-30-3104;

17 (i) a payment received by a private landowner for providing public access to public land pursuant
18 to Title 76, chapter 17, part 1;

19 (j) the amount of any refund or credit for overpayment of income taxes imposed by this state or
20 any other taxing jurisdiction to the extent included in gross income for federal income tax purposes but not
21 previously allowed as a deduction for Montana income tax purposes;

22 (k) the recovery during the tax year of any amount deducted in any prior tax year to the extent that
23 the recovered amount did not reduce the taxpayer's Montana income tax in the year deducted;

24 (l) the amount of the gain recognized from the sale or exchange of a mobile home park as
25 provided in 15-31-163;

26 (m) payments from the Montana end of watch trust as provided in 2-15-2041;

27 (n) (i) subject to subsection (9), a portion of military pensions or military retirement income as
28 calculated pursuant to subsection (8) that is received by a retired member of:

- 1 (A) the armed forces of the United States, as defined in 10 U.S.C. 101;
- 2 (B) the Montana army national guard or the army national guard of other states;
- 3 (C) the Montana air national guard or the air national guard of other states; or
- 4 (D) a reserve component, as defined in 38 U.S.C. 101, of the United States armed forces; and
- 5 (ii) subject to subsection (9), up to 50% of all income received as survivor benefits for military
- 6 service provided for in subsection (3)(n)(i)(A) through (3)(n)(i)(D); and
- 7 (o) the amount of the property tax rebate received under 15-1-2302.
- 8 (4) (a) A taxpayer who, in determining federal taxable income, has reduced the taxpayer's
- 9 business deductions:
- 10 (i) by an amount for wages and salaries for which a federal tax credit was elected under sections
- 11 38 and 51(a) of the Internal Revenue Code, 26 U.S.C. 38 and 51(a), is allowed to deduct the amount of the
- 12 wages and salaries paid regardless of the credit taken; or
- 13 (ii) for which a federal tax credit was elected under the Internal Revenue Code is allowed to
- 14 deduct the amount of the business expense paid when there is no corresponding state income tax credit or
- 15 deduction, regardless of the credit taken.
- 16 (b) The deductions in subsection (4)(a) must be made in the year that the wages, salaries, or
- 17 business expenses were used to compute the credit. In the case of a partnership or small business corporation,
- 18 the deductions in subsection (4)(a) must be made to determine the amount of income or loss of the partnership
- 19 or small business corporation.
- 20 (5) (a) An individual who contributes to one or more accounts established under the Montana
- 21 family education savings program or to a qualified tuition program established and maintained by another state
- 22 as provided in section 529(b)(1)(A)(ii) of the Internal Revenue Code, 26 U.S.C. 529(b)(1)(A)(ii), may reduce
- 23 taxable income by the lesser of \$3,000 or the amount of the contribution. In the case of married taxpayers, each
- 24 spouse is entitled to a reduction, not in excess of \$3,000, for the spouses' contributions to the accounts.
- 25 Spouses may jointly elect to treat half of the total contributions made by the spouses as being made by each
- 26 spouse. The reduction in taxable income under this subsection (5)(a) applies only with respect to contributions
- 27 to an account of which the account owner is the taxpayer, the taxpayer's spouse, or the taxpayer's child or
- 28 stepchild if the taxpayer's child or stepchild is a Montana resident. The provisions of subsection (2)(d) do not

1 apply with respect to withdrawals of contributions that reduced federal taxable income.

2 (b) Contributions made pursuant to this subsection (5) are subject to the recapture tax provided for
3 in 15-62-208.

4 (6) (a) An individual who contributes to one or more accounts established under the Montana
5 achieving a better life experience program or to a qualified program established and maintained by another
6 state may reduce taxable income by the lesser of \$3,000 or the amount of the contribution. In the case of
7 married taxpayers, each spouse is entitled to a reduction, not to exceed \$3,000, for the spouses' contributions
8 to the accounts. Spouses may jointly elect to treat one-half of the total contributions made by the spouses as
9 being made by each spouse. The reduction in taxable income under this subsection (6)(a) applies only with
10 respect to contributions to an account for which the account owner is the taxpayer, the taxpayer's spouse, or
11 the taxpayer's child or stepchild if the taxpayer's child or stepchild is a Montana resident. The provisions of
12 subsection (2)(d) do not apply with respect to withdrawals of contributions that reduced taxable income.

13 (b) Contributions made pursuant to this subsection (6) are subject to the recapture tax provided in
14 53-25-118.

15 (7) By November 1 of each year, the department shall multiply the subtraction from federal taxable
16 income for a taxpayer that has attained the age of 65 contained in subsection (3)(g) by the inflation factor for
17 that tax year, rounding the result to the nearest \$10. The resulting amount is effective for that tax year and must
18 be used as the basis for the subtraction from federal taxable income determined under subsection (3)(g).

19 (8) (a) Subject to subsection (9), the subtraction in subsection (3)(n)(i) is equal to the lesser of:

20 (i) the amount of Montana source wage income on the return; or

21 (ii) 50% of the taxpayer's military pension or military retirement income.

22 (b) For the purposes of subsection (8)(a)(i), "Montana source wage income" means:

23 (i) wages, salary, tips, and other compensation for services performed in the state;

24 (ii) net income from a trade, business, profession, or occupation carried on in the state; and

25 (iii) net income from farming activities carried on in the state.

26 (9) The subtractions in subsection (3)(n):

27 (a) may only be claimed by a person who:

28 (i) becomes a resident of the state after June 30, 2023; or

1 (ii) was a resident of the state before receiving military pension or military retirement income and
2 remained a resident after receiving military pension or military retirement income;

3 (b) may only be claimed for 5 consecutive years after satisfying the provisions of subsection (9)(a);
4 and

5 (c) are not available if a taxpayer claimed the exemption before becoming a nonresident.

6 (Subsection (3)(o) terminates June 30, 2025--sec. 10, Ch. 47, L. 2023; subsections (3)(n), (8), and (9) terminate
7 December 31, 2033--sec. 4, Ch. 650, L. 2023.)"

9 NEW SECTION. Section 9. **Codification instruction.** [Sections 1 through 7] are intended to be
10 codified as an integral part of Title 15, chapter 30, and the provisions of Title 15, chapter 30, apply to [sections
11 1 through 7].

13 NEW SECTION. **Section 10. Applicability.** [This act] applies to income tax years beginning after
14 December 31, 2025.

15 - END -